

Index funds, “yield tilt” funds, passive portfolios, or the inclusion of foreign securities in domestic portfolios, all of which are based one way or the other on historical experience, are not the answer to optimizing future returns. For this purpose, nothing strikes me as wrong as an indexed portfolio, which could turn out to be every bit as wrong as formula timing was in 1951.

I say this for two reasons. First, it does nothing to help you escape the ultimate asset allocation decision—do you want to be in the market or don’t you? If the market goes into a tailspin, the investor holding an index fund will gain small comfort by matching the market’s decline or by knowing that many other investors are doing even worse. Then the risk is that such discouraged investors will convert their funds to cash at the very bottom, which is just further proof that indexing does not help you out over the asset allocation problem.

*Only a few investors make . . . decisions well.
The reason for this is simply that most let the
experience of the previous period dominate their
thinking.*

Second, it obviously does nothing to guarantee that you will do better than the market on the way up. The investor in index funds would fall short in a period in which the stocks of the large companies that dominate the index were substantially underperforming the smaller companies or newer industries that are either not yet in the index or carry a low weight in it. As we know from the decade of 1958–68, such a period can last for five or ten years or longer.

Will the statistics on “risk adjusted return” be any consolation or will the indexing decision be abandoned after a period of low returns relative to the many success stories of other investors? One may think one can remain objective,